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International Political Economy

5 December 2024

China as a Follower in the International Economy

Over the last couple of decades, China has been on the rise as it has become an increasingly important player in the international economy. Although China and the US are separated by the Pacific Ocean, due to the beginning of a trade war between the two countries and the implementation of tariffs, both US and Chinese citizens should pay attention as developments in the trade war can have strong effects on their day to day lives through an increase in price of goods. Throughout most of history, China had been an agrarian society only recently undergoing a relatively short age of industrialization starting in the late 1970s (Wen 2016). Taking advantage of its cheap labor, appeal to foreign investors, and an ever globalizing world, China's government made strong decisions gaining knowledge in many crucial industries such as automotive, semiconductor, and more to become known as the "world's factory". In 2001, China joined the World Trade Organization (WTO) serving as a landmark stamp on China's manufacturing rise opening doors to new markets, supply chains, and new foreign investment. By 2010, China had surpassed Japan to reach the status of second largest GDP. Despite China's rise benefiting consumers around the world, it has led to rising tensions with the United States as the US claims that China's economic practices are illegal, and pose a threat to US economic power. With tensions rising over recent decades, a recent development came under US President Donald Trump in 2018 as a trade war between China and the US began. It started with President Trump putting

tariffs on billions of dollars of Chinese exports and China retaliating with similar tariffs on US exports. With China's economic rise came changes to the international economy, begging the question of whether to define China as a disruptor or follower of the status quo in today's global economy. Defining a "disruptor" as a country who actively and successfully disrupts international order in an intentional way, China has not yet proven to be a disruptor, but instead a follower of the status quo of the international economy.

Some argue that China has been a disruptor to the international economy citing two main reasons. The first is China's aggressive foreign diplomacy and claims over sovereign maritime territory in Southeast Asia. One recent development in China's foreign diplomacy is the release of China's ten dashed-line map in 2023. Following a negotiation with Vietnam over the Gulf of Tonkin in 1952, China adopted a map with nine-dashes outlining China's claims to the economic waters within the South China sea. Countries such as Brunei, Malaysia, and the Philippines have long been angered by China's claims as they intrude on the internationally recognized economic waters of other southeast Asian nations. (Caruana 2023). Unbothered, China released a new map with ten dashed lines in 2023, laying claim to even more economic waters. The new dash appeared off the eastern coast of Taiwan, serving as both an assertion of regional dominance and threat to Taiwan's independence. Furthermore, according to the US Department of State, "Beijing uses intimidation to undermine the sovereign rights of Southeast Asian coastal states in the South China Sea...threaten them out of shipping lanes, assert unilateral dominion, and deprive fishermen of access to their livelihoods" (China's 1) Evident in its actions, China remains unbothered despite heavy criticism from the United Nations (UN), International Maritime Organization (IMO), and United Nations Convention on the Law of the Sea (UNCLOS).

Nguyen Quyet, an International Relations professor at Vinh University in Vietnam, explains “China's increasing confidence as a result of its developed economic powerhouse, military might, and political influence...has prompted Beijing to intensify its assertiveness in the SCS” (Quyet 692). This development of the situation in the South China Sea paints China as a disruptor of the existing international order.

While China's adoption of the ten dash line can undoubtedly be described as intent to change the status quo, intent to disrupt does not necessarily mean that China has been successful in achieving a change in the status quo, which is a necessary prerequisite to be considered a disruptor in the international economy. Despite intending to disrupt the international status quo, China is yet to be successful in doing so. This can be seen by looking at the amount of backlash China has received from a variety of actors for its actions in the South China sea. One critic was the Arbitral Tribunal, a panel appointed by the UNCLOS to resolve legal disputes between nations, which ruled against China and its claims in the South China Sea, deeming China's claims and recent activities in the waters of other nations to be unlawful (Campbell and Salidjanova 1). Another critic was the European Union (EU). While discussing the developments in the South China Sea the EU released a statement which states “The EU insists that the UN Charter, the UNCLOS, and other relevant international norms...as well as the Arbitration Award of 2016, should be upheld and respected at all times” (Massrali 1). A statement put out by the G7 regarding the South China Sea reads “We reiterate our strong opposition to any unilateral attempts to change the status quo by force or coercion...We reiterate our opposition to China's militarization and coercive and intimidation activities in the South China Sea” (G7 Foreign Ministers' 1). From its actions, China has drawn a long list of critics that are highlighted by important

international organizations such as the UNCLOS, the EU, the G7, and many more. The status quo is not being changed because by definition the status quo is what everyone is used to and accepts. The fact that so many nations and international organizations condemn China's actions and explicitly state their opposition to China's attempts to change the status quo, implies that the status quo has not changed. If the status quo were to have been changed, a "new" standard would be upheld, or at minimum a level of disagreement between groups who upheld the new status quo and those who opposed it would exist. However, the unanimous agreement across regions, groups, and institutions, regarding the situation and condemnation of China's actions in the region, shows a lack of change of the international status quo.

The second argument made by those who point to China as a disruptor, is the existence of the US-China Trade War. As China has become an increasingly powerful global manufacturing hub, the US has started to view China as a potential challenger to US global economic dominance. With tensions escalating for decades, 2018 saw the start of a trade war between the two economic titans as both placed tariffs on each other, affecting over \$400 billion worth of trade (Fajgelbaum et al. 1). The adoption of similar policies by both countries marked the end of decades working towards an open international system of trade. Still today, the tariffs remain as the trade war looks to be expanding, with US President-elect Trump threatening to raise tariffs further and expand said tariffs to a wider variety of Chinese exports (Mistreanu and Moritsugu 1). Proponents of China's status as a disruptor point to the existence of the US-China trade war as a supporting argument due to the fact that it has led to the adoption of tariffs and what many call the "resurgence of protectionism" and the "end of decades of globalization".

However, when understanding the US-China trade war, one must avoid adopting a western-centric view. While it is undeniable that the US-China trade war is an example of a disruption in the international economy, citing the existence of the trade war as evidence for China's status as a disruptor, puts the "blame" for this disruption on China without considering the US's role. Oversimplifying the situation for the sake of argument, it can be said without debate that the trade war arose due to the US feeling that its economic dominance might be threatened by China's economic rise. To understand the context of China-US relations, one must understand how China's economic rise came to be. To achieve this economic rise, China made large political shifts such as the groundbreaking passing of the Law on Chinese-Foreign Equity Joint Ventures which opened China's doors to the international world inviting foreign producers to engage in joint ventures as long as Chinese laws and regulations were followed (Huang 147). Furthermore, China began adopting rural reforms in 1978, proving successful by doubling rural per capita income in the following 6 years. Taxing this population served as the majority of the government's income (Huang 148). Understanding China's economic rise is important because while it can be described as groundbreaking, it can not be described as internationally disruptive as these domestic changes were done entirely within China's sovereign rights. This shows that when discussing China's economic rise, China can not be described as a disruptor, as the changes China made were entirely within its borders. Furthermore, when understanding China's role as follower or disruptor in the context of the US-China trade war, the firing of the first shot of the trade war must not be ignored. The first shot was fired by the United States in 2018 with President Donald Trump placing tariffs as high as 25% on China. Only following the adoption of these tariffs did China place retaliatory tariffs on US exports. It

would be inconsistent and unfair to fault China for the development of the beginning of the trade war when China was not seeking anything more than economic development. Placing the blame on China would be faulting China for being successful in economically developing, an outcome that all developing countries seek. In fact, it would be unfair to give China the credit of being called a disruptor when their explicit international actions have been insufficient to intentionally and successfully disrupt the global theatre of trade. This context proves China's status is not that of a disruptor as it was not the one that changed the international economic system, but rather retaliated to actions from the US that changed the international economic system.

Although it can be said that China is not a disruptor, this alone is not sufficient to put the label of "follower" on China. However, when considering China's participation in Bretton-Woods Institutions, China's status as a follower can be seen. One example of this can be seen in 2001 with China joining the World Trade Organization. With the Asian financial crisis of 1997, China saw immense financial pressure and was forced to make changes in its economy. One example of these changes could be seen in the centralization of power in the banking sector (Wang 7). However, the biggest example of these changes was China's joining of the World Trade Organization (WTO) as it hoped to tap new markets and further expand its economic outreach. Joseph Fewsmith, a professor of International Relations at Boston University, writes "As the economy slowed, China looked for new ways to boost exports, shore up foreign investment, and more importantly, make Chinese industry more competitive" (Fewsmith 1). It is worth noting, that when China joined the World Trade Organization, it had to undergo significant policy changes required by the WTO such as significant reduction of some import tariffs, complete elimination of other

tariffs, and the capping of farm subsidies (Ching et. al, 2). These changes were not easy as it helped lower trade barriers that were protecting Chinese producers and its economy at large. The fact that China chose to make these significant changes in order to gain membership in the WTO speaks to the willingness and eagerness of China to use resources from the WTO and integrate itself into the international institution. China's membership in the WTO has allowed the establishment of trade relations as China establishes itself as the world's factory (Yu 308) China has been able to effectively take advantage of a globalized economy highlighted by reduced trade barriers. China's membership and participation in the WTO shows that not only is China willing to be a part of the Bretton-Woods institutions that have led the post World War II international order, but China has also enjoyed benefits from its participation.

A second example of China's participation in Bretton-Woods institutions is its participation in the World Bank. Despite being a founding member of the World Bank in 1945, China did not benefit from a partnership with the World Bank until 1980 when it began borrowing from the World Bank. Since 1980, China has benefited greatly from its status as a World Bank member borrowing millions of dollars from the World Bank on its journey to industrialization and development. China has proven to be a successful case for the World Bank as the World Bank's contributions helped China successfully industrialize. As of 2022, China has donated over 50 million dollars to the World Bank (China-World Bank 1). China's membership in the World Bank has shown China again taking advantage of and benefiting from Bretton Woods institutions that have dominated the international order since 1945.

Over time, China's participation in the WTO and World Bank have grown proportionally to China's growth in political influence and economic power. China's membership and growing involvement in the WTO and World Bank show that China does not just reluctantly accept the status quo, but instead it is forced to be an active participant in the institutions that make it up. Despite the fact that many argue that China is a disruptor in the international economy, citing the US-China trade war and aggressive foreign diplomacy highlighted by the ten dashed line map, these arguments are flawed. Although China has been a part of events that can be described as disruptive, overall, China has failed to successfully and intentionally do enough to be deemed a "disruptor" in the international economy. Instead, China's participation and desire to have a strong and growing influence in Bretton-Woods institutions that make up the international economic and financial status quo prove that China can accurately be classified as a "follower" in the current global international order.

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